

WHERE IS THE MONEY?

The Rajus are believed to have used their web of companies to transfer money out of Satyam



Satyam Computer Services

B. Ramalinga Raju, Chairman

Subsidiaries

1. Satyam BPO Limited
2. Satyam Computer Services (Shanghai) Co. Ltd China
3. Satyam Computer Services (Nanjing) Co. Ltd China
4. Satyam Technologies, Inc. USA
5. Knowledge Dynamics Pte. Ltd. Singapore
6. Nitor Global Solutions Limited UK
7. Citisoft Plc. UK
8. Satyam Computer Services (Egypt) S.A.E. & Egypt

Joint ventures

9. CA Satyam ASP Pvt Ltd India
10. Satyam Venture Engineering Services Pvt Ltd India



Maytas Infra

B. Teja Raju, Vice-chairman

Subsidiaries

1. Infra Trade FZE
2. Pondicherry Tindivanam Tollway
3. Maytas Mineral Resources
4. Maytas Infra Assets
5. Maytas (Singapore) Holding Pte Ltd

Joint ventures

- | | |
|----------------------------|--------------------------------|
| 1. Maytas-SNC | 8. NCC-Maytas (KSHIP-U1) |
| 2. NCC-Maytas (Pocharam) | 9. Maytas-CTR |
| 3. IJM-SCL | 10. Maytas-Rithwik |
| 4. Himachal | 11. NCC-Maytas-ZVS |
| 5. NEC-NCC-Maytas | 12. Maytas-NCC-SSJV Consortium |
| 6. Maytas-Shankaranarayana | |
| 7. Maytas-NCC | |

Other companies*

- | | |
|----------------------------------|------------------------|
| 1. Maytas Holdings | 6. SNR Investments |
| 2. Maytas Properties | 7. Elem Investments |
| 3. Maytas Hillcountry SEZ | 8. Fincity Investments |
| 4. Maytas Hillcountry Developers | 9. Higrace Investments |
| 5. Maytas Estates | 10. Veeyes Investment |



Maytas Properties

B. Rama Raju, Vice-chairman

Satyam Computer Services, Maytas Properties and Maytas Infra own a total of 17,408.53 acres of land in various parts of Andhra Pradesh, Nagpur, Chennai and Bangalore. Maytas Properties holds 6,800 acres in Hyderabad, Vijayawada, Visakhapatnam and Kakinada. It also owns 300 acres of prime land in Bachupally in Ranga Reddy district, on the outskirts of Hyderabad.

**Companies owned by or where significant influence exercised by key management personnel or relatives*

to own over 6,800 acres of land in Andhra Pradesh. Investigations would probably answer where the Maytas companies got their financial muscle from but the overwhelming suspicion is that it came from the missing money in Satyam Computers.

Raju fuelled greed using a combination of powerful branding, systemic lacunae and opportunity provided by the system. He could inflate income and profits because there was no cost, thanks to the tax exemption. Inflated profits added to his aura and credibility. Not just that. As share prices rose promoters could pledge shares and raise capital for other ventures. Just seven days before the confession, banks which had lent against Satyam shares pledged by group companies sold 2.45 lakh shares and encashed over Rs 300 crore. Obviously, the dilution in the holding of Raju shows that this has been a pattern: Inflate profits and sell stock at higher prices. Not just Raju but 17 other management executives sold over 60 lakh shares in 2008. Outgoing CEO Ram Myanampati, for instance, sold over nine lakh shares to encash Rs 40 crore.

Take the issue of fictitious cash balances. The process requires auditors to independently check with banks on the existence of fixed deposits but this was not done for as large a sum as Rs 5,040 crore. Its audit firm PricewaterhouseCoopers, which operates through a web of subsidiaries and is under scrutiny for the Global Trust Bank and the DSQ Software fiddle, is also facing disciplinary inquiries in three cases by the Institute of Chartered Accountants of India. The independent directors should have questioned why the company was sitting on such a huge pile of cash or at least checked the veracity of the claims in the audit committee but relied on company documentation.

Further, the Indian system allows promoters to choose the structure of their empire. Within India, companies use subsidiaries both to deflate and inflate holding company

THE INDEPENDENT DIRECTORS SHOULD HAVE QUESTIONED WHY THE COMPANY WAS SITTING ON SUCH A HUGE PILE OF CASH.



INDEPENDENT DIRECTORS RAM MOHAN RAO, VINOD DHAM AND KRISHNA PALEPU